

not that preferred stocks must, *per se*, be excluded from the investment category, but rather that such severe specific requirements must be imposed upon them as to make the number of eligible issues comparatively small. The list shown on the following page comprises all of the preferred stocks listed on the New York Stock Exchange which maintained a price equal to a 7% return or less at all times during 1932 and 1933.³ There are appended also, certain quantitative data bearing on the degree of safety enjoyed by each of these issues.

Sound Preferred Issues Exceptions. This list of preferred stocks comprises only 5% of the total number of issues listed on the New York Stock Exchange in 1932. This small percentage bears out our thesis that a sound preferred stock, while not an impossibility, is an exceptional phenomenon. It may be called exceptional not only in the numerical sense, but also from a more theoretical standpoint. In practically every instance in the above list, the preferred stock could have been replaced by a bond issue without affecting in any material degree the soundness of the corporation's capital structure. This means that the company itself derived no important advantage through having preferred stock outstanding instead of bonds, and on the other hand it suffered important disadvantages through income-tax liability and also because of the higher cost of its senior capital.⁴ Stating the matter differently, in order that a preferred stock may be thoroughly sound, the burden it imposes must be so light that the company may just as readily carry that burden in the form of a bond obligation.

We are led therefore, to the final conclusion that not only are sound preferred stocks exceptional but in a certain sense they must be called anomalies or mistakes, because they are preferred issues which should really be outstanding as bonds. Hence the preferred stock form lacks basic justification, from an investment standpoint, in that it does not offer mutual advantages to both the issuer and the owner. Wherever the issuing business derives a real benefit from its discretionary right to suspend dividends, then the owner does not possess a fixed-value investment. And conversely, when the issue is a high-grade one, then the issuer derives no such benefit.

³ We exclude Standard Oil Export Corporation 5% Preferred; Pittsburgh, Fort Wayne and Chicago Railway 7% Preferred and other guaranteed preferred issues, since they occupy substantially the position of a debenture bond of the guarantor.

⁴ Bond interest is deductible from earnings before arriving at the profit subject to income tax, but preferred dividends may not be so deducted.